



***UNAUDITED CONDENSED
FINANCIAL STATEMENTS
SEPTEMBER 2020***

I&M HOLDINGS PLC						
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME						
FOR THE PERIOD ENDED 30 SEPTEMBER 2020	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	30-Sep 2020 KShs '000'	31-Dec 2019 KShs '000'	30-Sep 2019 KShs '000'	30-Sep 2020 KShs '000'	31-Dec 2019 KShs '000'	30-Sep 2019 KShs '000'
Interest income	21,159	42,017	35,267	19,738,586	27,163,847	19,158,643
Interest expense	-	-	-	(9,337,934)	(11,654,006)	(8,573,216)
Net interest income	21,159	42,017	35,267	10,400,652	15,509,841	10,585,427
Fee and commission income	-	-	-	3,044,914	3,993,648	3,235,457
Fee and commission expense	-	-	-	(243,071)	(313,915)	(179,487)
Net fee and commission income	-	-	-	2,801,843	3,679,733	3,055,970
Revenue	21,159	42,017	35,267	13,202,495	19,189,574	13,641,397
Net trading income	-	4,313	-	3,108,681	3,835,815	2,932,600
Other operating income	3,377,318	363,733	363,733	254,938	456,078	171,055
Net operating income before change in expected credit losses and other credit impairment charges	3,398,477	410,063	399,000	16,566,114	23,481,467	16,745,052
Change in expected credit losses and other credit impairment charges	-	-	-	(2,149,725)	(636,455)	(1,299,351)
Net operating income	3,398,477	410,063	399,000	14,416,389	22,845,012	15,445,701
Staff costs	-	-	-	(3,560,427)	(4,727,698)	(3,518,576)
Premises and equipment costs	-	-	-	(319,047)	(423,951)	(210,580)
Other expenses	(20,965)	(40,699)	(21,621)	(2,454,992)	(2,829,772)	(2,143,282)
Depreciation and amortisation expenses	-	-	-	(1,008,991)	(1,165,520)	(874,663)
Operating expenses	(20,965)	(40,699)	(21,621)	(7,343,457)	(9,146,941)	(6,747,101)
Operating profit	3,377,512	369,364	377,379	7,072,932	13,698,071	8,698,600
Share of profit of Joint Venture	-	-	-	(575,360)	905,037	604,128
Profit before income tax	3,377,512	369,364	377,379	6,497,572	14,603,108	9,302,728
Income tax expense	(4,721)	(5,088)	(4,386)	(1,909,290)	(3,834,494)	(2,668,055)
Profit for the period	3,372,791	364,276	372,993	4,588,282	10,768,614	6,634,673
Other comprehensive income	657	(3,016)	10,915	606,833	(534,935)	359,411
Total comprehensive income for the period	3,373,448	361,260	383,908	5,195,115	10,233,679	6,994,084
Profit attributable to:						
Equity holders of the company	3,372,791	364,276	372,993	4,357,298	10,309,038	6,301,654
Non controlling interest	-	-	-	230,984	459,576	333,019
	3,372,791	364,276	372,993	4,588,282	10,768,614	6,634,673
Total comprehensive income attributable to:						
Equity holders of the company	3,373,448	361,260	383,908	4,774,376	9,871,024	6,651,195
Non controlling interest	-	-	-	420,739	362,655	342,889
	3,373,448	361,260	383,908	5,195,115	10,233,679	6,994,084
Basic and diluted earnings Per share - (KShs)	4.08	0.44	0.45	5.27	12.47	7.62
Dividends Per share - (KShs) - Final	-	2.55	-	-	2.55	-

I&M HOLDINGS PLC**STATEMENT OF FINANCIAL POSITION**

AS AT 30 SEPTEMBER 2020	COMPANY			GROUP		
	UNAUDITED 30-Sep 2020 KShs '000'	AUDITED 31-Dec 2019 KShs '000'	UNAUDITED 30-Sep 2019 KShs '000'	UNAUDITED 30-Sep 2020 KShs '000'	AUDITED 31-Dec 2019 KShs '000'	UNAUDITED 30-Sep 2019 KShs '000'
ASSETS						
Cash and balances with central banks	-	-	-	14,868,572	15,385,829	18,091,451
Items in the course of collection	-	-	-	700,735	536,459	1,615,205
Loans and advances to banks	-	-	-	21,232,816	43,662,404	51,989,467
Loans and advances to customers	-	-	-	185,693,796	175,329,426	174,111,284
Financial assets at fair value through profit or loss (FVTPL)	-	-	-	16,832,543	13,744,048	12,757,446
Financial assets measured at fair value through other comprehensive income (FVOCI)	27,484	27,679	451,760	32,693,016	13,109,198	16,256,234
Other financial assets at amortised cost	-	-	-	41,856,388	27,071,019	24,443,205
Investment in Joint Venture	2,515,591	2,110,591	1,679,971	5,194,172	5,398,545	4,834,574
Investment in subsidiaries	25,662,294	25,662,294	25,662,294	-	-	-
Property and equipment	-	-	-	11,852,290	10,152,429	8,583,933
Intangible assets - Goodwill	-	-	-	3,154,978	3,113,771	3,143,907
Intangible assets - Software	-	-	-	2,402,504	2,042,907	1,877,717
Prepaid operating lease rentals	-	-	-	-	-	230,291
Tax recoverable	-	5,253	3,299	1,882,608	37,819	535,494
Deferred tax asset	-	-	-	3,031,892	3,014,836	1,954,603
Due from group companies	968,451	79,277	108,370	-	-	-
Other assets	3,332	8,880	10,517	3,274,533	2,691,984	3,925,028
TOTAL ASSETS	29,177,152	27,893,974	27,916,211	344,670,843	315,290,674	324,349,839
LIABILITIES AND SHAREHOLDERS' EQUITY						
Liabilities						
Deposits from banks	-	-	-	9,410,277	8,005,604	10,779,375
Items in course of collection	-	-	-	120,404	147,321	635,076
Deposits from customers	-	-	-	252,828,739	229,736,509	236,229,016
Deferred tax liability	-	-	-	-	-	-
Tax payable	2,801	-	-	273,081	894,694	96,508
Due to group companies	1,881,272	1,881,592	1,881,592	-	-	-
Other liabilities	106,198	90,581	90,571	6,473,584	4,788,747	5,478,814
Long term debt	-	-	-	7,072,443	6,210,571	8,796,999
Subordinated debt	-	-	-	4,651,285	4,645,055	4,715,580
	1,990,271	1,972,173	1,972,163	280,829,813	254,428,501	266,731,368
Shareholders' equity						
Share capital	826,811	826,811	826,811	826,811	826,811	826,811
Share premium	18,390,507	18,390,507	18,390,507	18,390,507	18,390,507	18,390,507
Retained earnings	7,968,945	6,704,522	6,712,839	34,470,753	33,918,324	31,652,494
Revaluation reserve	-	-	-	864,772	875,985	820,277
Fair value reserve	618	(39)	13,891	48,919	(273,802)	(26,638)
Translation reserve	-	-	-	(1,297,855)	(1,416,566)	(915,512)
Statutory credit risk reserve	-	-	-	7,291,167	5,518,392	3,841,201
Defined benefit reserve	-	-	-	(130,158)	(101,042)	(70,361)
Equity attributable to owners of the company	27,186,881	25,921,801	25,944,048	60,464,916	57,738,609	54,518,779
Non-controlling interest	-	-	-	3,376,114	3,123,564	3,099,692
TOTAL SHAREHOLDERS' EQUITY	27,186,881	25,921,801	25,944,048	63,841,030	60,862,173	57,618,471
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	29,177,152	27,893,974	27,916,211	344,670,843	315,290,674	324,349,839

I&M HOLDINGS PLC

UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT SEPTEMBER 2020

9 months period to 30 September 2020	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value reserve Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2020	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173
Net profit after tax	-	-	-	-	-	-	-	4,357,297	-	4,357,297	230,985	4,588,282
Other comprehensive income	-	-	(11,213)	322,721	1,772,775	(29,116)	1,743,659	(1,756,799)	118,711	417,079	189,754	606,833
Total comprehensive income for the period	-	-	(11,213)	322,721	1,772,775	(29,116)	1,743,659	2,600,498	118,711	4,774,376	420,739	5,195,115
Transactions with owners:										-		-
Other transactions	-	-	-	-	-	-	-	60,299	-	60,299	(60,299)	-
Dividends Paid	-	-	-	-	-	-	-	(2,108,368)	-	(2,108,368)	(107,890)	(2,216,258)
Total transactions with owners for the period	-	-	-	-	-	-	-	(2,048,069)	-	(2,048,069)	(168,189)	(2,216,258)
Balance as at 30 September 2020	826,811	18,390,507	864,772	48,919	7,291,167	(130,158)	7,161,009	34,470,753	(1,297,855)	60,464,916	3,376,114	63,841,030

For the year ended 31 December 2019	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value reserve Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2019	413,405	18,805,359	820,277	(454,825)	2,190,131	(70,361)	2,119,770	26,931,401	(766,356)	47,869,031	3,005,417	50,874,448
Net profit after tax	-	-	-	-	-	-	-	10,309,038	-	10,309,038	459,576	10,768,614
Other comprehensive income	-	-	55,708	181,023	3,328,261	(30,681)	3,297,580	(3,322,115)	(650,210)	(438,014)	(96,921)	(534,935)
Total comprehensive income for the period	-	-	55,708	181,023	3,328,261	(30,681)	3,297,580	6,986,923	(650,210)	9,871,024	362,655	10,233,679
Transactions with owners:												
Other transactions	413,406	(414,852)	-	-	-	-	-	-	-	(1,446)	-	(1,446)
Dividends Paid	-	-	-	-	-	-	-	-	-	-	(244,508)	(244,508)
Total transactions with owners for the year	413,406	(414,852)	-	-	-	-	-	-	-	(1,446)	(244,508)	(245,954)
Balance as at 31 December 2019	826,811	18,390,507	875,985	(273,802)	5,518,392	(101,042)	5,417,350	33,918,324	(1,416,566)	57,738,609	3,123,564	60,862,173

9 months period to 30 September 2019	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Fair value Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2019	413,405	18,805,359	820,277	(454,825)	2,190,131	(70,361)	2,119,770	26,931,401	(766,356)	47,869,031	3,005,417	50,874,448
Total comprehensive income for the period												
Net profit after tax	-	-	-	-	-	-	-	6,301,654	-	6,301,654	333,019	6,634,673
Other comprehensive income	-	-	-	428,187	1,651,070	-	1,651,070	(1,580,561)	(149,156)	349,540	9,870	359,410
Total comprehensive income for the period	-	-	-	428,187	1,651,070	-	1,651,070	4,721,093	(149,156)	6,651,194	342,889	6,994,083
Transactions with owners:												
Other transactions	413,406	(414,852)	-	-	-	-	-	-	-	(1,446)	-	(1,446)
Dividends Paid	-	-	-	-	-	-	-	-	-	-	(248,614)	(248,614)
Total transactions with owners for the year	413,406	(414,852)	-	-	-	-	-	-	-	(1,446)	(248,614)	(250,060)
Balance as at 30 September 2019	826,811	18,390,507	820,277	(26,638)	3,841,201	(70,361)	3,770,840	31,652,494	(915,512)	54,518,779	3,099,692	57,618,471

OPERATING SEGMENTS

The Group operations are within five geographical segments, Kenya, Tanzania, Rwanda, Uganda and Mauritius. The table below contains segmental information for the period ended 30 September 2020.

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
30-Sep-20							
Net interest income	7,794,308	813,756	1,792,588	-	-	-	10,400,652
Net fee commission and other income	5,387,970	317,886	527,112	-	3,898	(71,404)	6,165,462
Results from joint venture	-	-	-	(575,360)	-	-	(575,360)
Operating income	13,182,278	1,131,642	2,319,700	(575,360)	3,898	(71,404)	15,990,754
Operating expenses	(4,487,923)	(676,453)	(1,233,195)	-	(1,921)	65,026	(6,334,466)
Depreciation and Amortisation	(640,671)	(114,694)	(253,616)	-	(10)	-	(1,008,991)
Net impairment losses on loans and advances	(1,838,325)	(110,242)	(200,750)	-	(408)	-	(2,149,725)
Operating expenses	(6,966,919)	(901,389)	(1,687,561)	-	(2,339)	65,026	(9,493,182)
Profit before tax	6,215,359	230,253	632,139	(575,360)	1,559	(6,378)	6,497,572
Profit after tax	4,595,427	162,144	410,890	(581,738)	1,559	-	4,588,282
Loans and advances to customers	147,349,559	15,224,543	23,119,694	-	-	-	185,693,796
Deposits from customers	210,176,049	16,262,381	26,390,309	-	-	-	252,828,739
Total assets	307,108,066	24,280,152	42,247,457	4,797,741	6,755	(33,769,328)	344,670,843
Total liabilities	223,975,352	20,439,863	37,231,481	1,743	330	(818,956)	280,829,813

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
31-Dec-19							
Net interest income	11,798,315	1,294,729	2,416,797	-	-	-	15,509,841
Net fee commission and other income	7,098,877	381,448	662,350	-	2,636	(173,685)	7,971,626
Results from joint venture	-	-	-	905,037	-	-	905,037
Operating income	18,897,192	1,676,177	3,079,147	905,037	2,636	(173,685)	24,386,504
Operating expenses	(5,448,724)	(893,153)	(1,725,307)	-	(2,618)	88,381	(7,981,421)
Depreciation and Amortisation	(743,671)	(112,901)	(308,936)	-	(12)	-	(1,165,520)
Net impairment losses on loans and advances	(305,595)	(279,641)	(51,219)	-	-	-	(636,455)
Operating expenses	(6,497,990)	(1,285,695)	(2,085,462)	-	(2,630)	88,381	(9,783,396)
Profit before tax	12,399,202	390,482	993,685	905,037	6	(85,304)	14,603,108
Profit after tax	9,005,120	264,900	678,855	898,935	6	(79,202)	10,768,614
Loans and advances to customers	141,543,126	15,225,620	18,560,680	-	-	-	175,329,426
Deposits from customers	195,404,638	13,620,563	20,711,308	-	-	-	229,736,509
Total assets	287,189,138	22,545,831	34,149,852	4,914,959	5,954	(33,515,060)	315,290,674
Total liabilities	206,852,953	18,971,164	29,529,663	1,896	1,306	(928,481)	254,428,501

OPERATING SEGMENTS (Continued)

	KENYA KShs'000	TANZANIA KShs'000	RWANDA KShs'000	MAURITIUS KShs'000	UGANDA KShs'000	ELIMINATION KShs'000	TOTAL KShs'000
30-Sep-19							
Net interest income	8,173,255	816,042	1,596,130	-	-	-	10,585,427
Net fee commission and other income	5,323,294	319,608	692,911	-	1,034	(177,222)	6,159,625
Results from joint venture	-	-	-	604,128	-	-	604,128
Operating income	13,496,549	1,135,650	2,289,041	604,128	1,034	(177,222)	17,349,180
Operating expenses	(4,029,950)	(676,625)	(1,336,323)	-	(2,039)	172,499	(5,872,438)
Depreciation and Amortisation	(584,383)	(72,301)	(217,970)	-	(9)	-	(874,663)
Net impairment losses on loans and advances	(1,147,336)	(154,528)	2,513	-	-	-	(1,299,351)
Operating expenses	(5,761,669)	(903,454)	(1,551,780)	-	(2,048)	172,499	(8,046,452)
Profit before tax	7,734,880	232,196	737,261	604,128	(1,014)	(4,723)	9,302,728
Profit after tax	5,394,757	162,305	479,220	604,128	(1,014)	(4,723)	6,634,673
Loans and advances to customers	138,892,791	14,900,692	20,317,801	-	-	-	174,111,284
Deposits from customers	199,596,218	14,295,108	22,337,690	-	-	-	236,229,016
Total assets	294,249,108	22,527,013	35,625,444	4,352,714	5,413	(32,409,853)	324,349,839
Total liabilities	217,017,010	18,964,962	31,037,095	1,970	1,706	(291,375)	266,731,368

I&M HOLDINGS PLC
NOTES TO UNAUDITED CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1 REPORTING ENTITY

I&M Holdings PLC (the "Company"), is a non-operating holding company licensed by the Central Bank of Kenya (CBK) under the Kenyan Banking Act (Chapter 488). The Company is incorporated in Kenya under the Kenyan Companies Act, 2015 and comprises banking subsidiaries in Kenya, Tanzania, Rwanda and a joint venture in Mauritius and non banking Subsidiaries in Kenya, Mauritius and Uganda. The consolidated financial statements as at and for the year ended 31 December 2019 comprise of entities in Kenya – I&M Bank Limited, I&M Capital Limited, I&M Realty Limited, I&M Burbidge Capital Limited, Giro Limited, I&M Insurance Agency Limited, and Youjays Insurance Brokers Limited; Tanzania - I&M Bank (T) Limited; Rwanda - I&M Bank (Rwanda) Plc, Mauritius - BCR Investment Company Limited and a joint venture - Bank One Limited; and Uganda - I&M Burbidge Capital (U) Limited (together referred to as the "Group"). The address of its registered office is as follows:

1 Park Avenue
1st Parklands Avenue
P O Box 30238 - 00100
Nairobi

The Company owns the following entities directly:

- (i) Bank One Limited – 50% interest in Bank One Limited, a joint venture in a bank licensed in Mauritius;
- (ii) I&M Bank LIMITED – 100% shareholding;
- (iii) I&M Capital Limited – 100% Shareholding;
- (iv) I&M Realty Limited – 100% Shareholding;
- (v) BCR Investment Company Limited – 100% (2019 - 68.742%) Shareholding;
- (vi) I&M Burbidge Capital Limited – 65% Shareholding, and;
- (vii) Giro Limited – 100% Shareholding

Through I&M Bank LIMITED, the Company has:

- (i) 70.38% shareholding in I&M Bank (T) Limited;
- (ii) 100% shareholding in I&M Insurance Agency Limited (incorporated on 23 July 2014),
- (iii) 100% shareholding in Youjays Insurance Brokers Limited (effective 31 March 2018) through I&M Insurance Agency Limited.

Through BCR Investment Company Limited, the Company has 54.47% effective shareholding in I&M Bank (Rwanda) Plc as BCR Investment Company Limited (Mauritius) owns 54.47% (2019 - 79.232%) shareholding in I&M Bank (Rwanda) Plc;

Through I&M Burbidge Capital Limited, the Company has 65% effective shareholding in I&M Burbidge Capital (U) Limited as the Company is 100% owned by I&M Burbidge Capital Limited.

2 BASIS OF PREPARATION

The principal accounting policies adopted in these consolidated quarter one financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2019.

These half year financial statements should be read together with the 2019 Audited Annual Financial Statements.